

HOUSE BILL 2454

By Garrett

AN ACT to amend Tennessee Code Annotated, Title 32;
Title 35 and Title 67, relative to trust and estate
law.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 32-1-107, is amended by redesignating the current section as subsection (a) and adding the following new subsection:

(b) A will described in subsection (a) is sufficiently proved to be admitted to probate in this state if it is proved that the will could be admitted to probate:

- (1) In the state where it was signed;
- (2) Under the law of the testator's domicile at the time of its execution; or
- (3) In a manner prescribed by § 32-2-104, § 32-2-105, or § 32-2-110.

SECTION 2. Tennessee Code Annotated, Section 35-15-110, is amended by deleting the section and substituting:

(a) A charitable organization expressly designated to receive distributions under the terms of a trust has the rights of a qualified beneficiary under this chapter, if the charitable organization, on the date the charitable organization's qualification is being determined, would be a qualified beneficiary under this chapter if such charitable organization were an individual beneficiary. Any such charitable organization expressly designated in the terms of a trust may receive notice and information pursuant to §§ 35-15-705, 35-15-813, and 35-15-817, and participate in nonjudicial settlement agreements under § 35-15-111.

(b) The attorney general and reporter may exercise the rights of a qualified beneficiary with respect to a charitable trust having its principal place of administration in

this state if all of the interests in the trust that are for a charitable purpose, in the aggregate, on the date the attorney general and reporter's qualification is being determined, would cause an individual beneficiary to be a qualified beneficiary under this chapter if all of such interests were for the benefit of an individual beneficiary instead of for charitable purposes.

SECTION 3. Tennessee Code Annotated, Section 35-15-103, is amended by deleting the language "an agreement of the qualified beneficiaries" wherever it appears and substituting "a nonjudicial settlement agreement".

SECTION 4. Tennessee Code Annotated, Section 35-15-414(a), is amended by deleting the language "one hundred thousand dollars (\$100,000)" and substituting "two hundred fifty thousand dollars (\$250,000)".

SECTION 5. Tennessee Code Annotated, Section 35-15-709, is amended by adding the following as a new subsection:

(c) A trustee may pay properly incurred expenses directly from the trust estate, including the payment of attorney's fees and expenses in defense of an action of the trustee. This subsection (c) does not limit the ability of the court to prevent further disbursement from the trust by the trustee, or demand immediate reimbursement back to the trust property at any time, or authorize an award pursuant to part 10 of this chapter.

SECTION 6. Tennessee Code Annotated, Section 35-15-710, is amended by deleting the language "an agreement of the qualified beneficiaries" and substituting "a nonjudicial settlement agreement".

SECTION 7. Tennessee Code Annotated, Section 35-15-808(b), is amended by deleting the language "an agreement of the qualified beneficiaries" and substituting "a nonjudicial settlement agreement".

SECTION 8. Tennessee Code Annotated, Section 35-15-817(f), is amended by adding the following language to the end of the subsection:

In order to be effective, any such person's objection must identify with reasonable specificity the portion of the notice or exhibits to which the beneficiary objects and the basis for the objection. A general objection without reasonable specificity is ineffective and must be disregarded.

SECTION 9. Tennessee Code Annotated, Section 35-15-817(j), is amended by adding the following language to the end of the subsection:

Any objection may also be withdrawn at any time in writing and such objection will have no effect and will be disregarded.

SECTION 10. Tennessee Code Annotated, Section 35-15-817(k), is amended by deleting the language "ten (10) business days" and substituting "five (5) business days".

SECTION 11. Tennessee Code Annotated, Section 35-15-818, is amended by deleting the language "subdivision (a)(1)" and substituting "subdivision (1)".

SECTION 12. Tennessee Code Annotated, Section 35-15-818, is amended by deleting the language "and" at the end of subdivision (11), deleting subdivision (12), and substituting:

(12) The trustee may exercise the power to appoint principal under subdivision (1) by modifying or restating the trust instrument; and

(13) For purposes of this section:

(A) "Original trust" means the trust from which principal is being distributed; and

(B) "Second trust" means an original trust after modification or restatement under this section, or a trust to which a distribution of property from an original trust is or may be made under this section; provided, that the exercise of the power to appoint principal under this section to a second trust by

restatement or modification of the original trust does not require the retitling of property titled to the original trust or a change in a payable on death or beneficiary designation to the original trust, even if the second trust is created by a fiduciary or other person.

SECTION 13. Tennessee Code Annotated, Title 35, Chapter 15, Part 8, is amended by adding the following new section:

(a) When acting in a managerial capacity with respect to a closely held business, including serving as a director, officer, manager, general partner, or other controlling person of such entity, a trustee, trust advisor, or trust protector is not liable for any resulting loss or failure to maximize returns; provided that:

(1) The trustee, trust advisor, or trust protector is an excluded fiduciary acting pursuant to valid direction of a trust protector or trust advisor; or

(2) The trustee, trust advisor, or trust protector:

(A) Acts in good faith;

(B) Acts with the care that a person in a like business position would reasonably believe appropriate under similar circumstances;

(C) Reasonably believes the action or inaction is in the best interest of the trust and its beneficiaries; and

(D) Does not act with an improper motive, as defined in § 35-15-814(a)(1)(A), including an intent to benefit the trustee personally or to further any purpose other than the best interests of one (1) or more beneficiaries.

(b) A trustee, trust advisor, or trust protector is not liable to a beneficiary for any act, omission, or decision made in a managerial or controlling capacity with respect to a closely held business interest, unless the act or omission does not comply with

subsection (a). A court shall not determine that the trustee, trust advisor, or trust protector failed to meet this standard merely because the court would not have exercised the discretion in the same manner.

(c) This section applies regardless of whether the trustee, trust advisor, or trust protector receives compensation from the trust or the business entity; provided, that any such compensation is reasonable, disclosed, and not prohibited by the terms of the trust.

(d) This section does not limit the court's authority to review conduct or to grant appropriate relief under title 35, chapter 15, part 10, if the trustee, trust advisor, or trust protector's actions are shown to be a breach of trust not protected under this section.

(e) This section does not alter the duties with respect to the investment in or ownership of a closely held business, including, but not limited to, those imposed by the Tennessee Uniform Prudent Investor Act of 2002, compiled in title 35, chapter 14, such as the duty to diversify.

SECTION 14. Tennessee Code Annotated, Title 35, Chapter 15, Part 11, is amended by adding the following new section:

(a) Confidential information related to trusts that is contained in court filings, including court orders, may be redacted or filed under seal without a prior court order so long as unredacted and complete copies of such filings are promptly provided to the court in camera and to all qualified beneficiaries, and the trustee and qualified beneficiaries consent to the redaction or filing under seal if the underlying matter:

(1) Does not involve third parties;

(2) Solely concerns the trustee and the qualified beneficiaries; and

(3) Relates to matters involving the validity, construction, and

administration of a trust, including the duties and powers of a trustee and the rights and interests of a beneficiary.

(b) Unless the court orders otherwise, confidential information once redacted or filed under seal must be redacted or filed under seal, as applicable, without a prior court order in all subsequent filings and orders in the matter. Unredacted and complete copies of such filings and orders must be promptly provided in camera to the court and to all qualified beneficiaries, unless a court orders otherwise.

(c)

(1) This section does not abridge the power of any court of competent jurisdiction to order the production of unredacted and complete copies of petitions, filings, and orders that have been redacted or filed under seal to a qualified beneficiary or any other interested person for cause shown. The existence of a compelling interest for filing documents redacted and under seal with a court must be presumed for all matters involving a trust since such matters involve purely private litigants, matters of purely private concern with little legitimate public interest, and risk serious embarrassment or specific harm from disclosure.

(2) In determining whether the presumption of a compelling interest for filing redacted documents and under seal is overcome, a court may consider, among other factors, whether:

(A) A public entity or official would benefit from secrecy;

(B) The information involves a matter of public concern; or

(C) The information is important to other litigation such that

sharing the information would promote fairness and efficiency.

(d) As used in this section, "confidential information related to trusts" includes:

(1) Trust instruments, settlement agreements, modification agreements, trustee resolutions, inventories, accountings, and reports;

(2) The names and addresses of trust settlors, trustees, and beneficiaries;

(3) Trust dispositive terms, including, without limitation:

(A) Purely private litigants; and

(B) Matters of purely private concern with little legitimate public interest;

(4) Corporate and company records relating to trusts;

(5) Personally identifying information, including, without limitation, social security numbers and dates of birth; and

(6) Any other information the court deems confidential, if there is a compelling interest in protecting the confidentiality of the information which outweighs the public interest in accessing such information.

SECTION 15. Tennessee Code Annotated, Section 35-15-1201(a), is amended by deleting the language "an agreement of the qualified beneficiaries" and substituting "a nonjudicial settlement agreement".

SECTION 16. Tennessee Code Annotated, Section 35-15-1201(a)(14), is amended by deleting the subdivision and substituting:

(14) The power to appoint under § 35-15-818;

SECTION 17. Tennessee Code Annotated, Section 67-4-2008(a)(11)(B)(i), is amended by deleting the subdivision and substituting:

(i) "Family-owned" means that at least ninety-five percent (95%) of the voting rights, capital interest, or profits of the entity are owned either by natural persons who are relatives or by trusts for the benefit of such relatives or by the estate of a deceased individual who was a relative while living. For this purpose, natural persons are considered relatives, if, by blood or adoption, they are descended from a common

ancestor and their relationship with each other is that of a first cousin or closer than that of a first cousin, or if they are a spouse or former spouse of any such person or a lineal descendant of a spouse or former spouse of any such person.

SECTION 18. Tennessee Code Annotated, Section 67-4-2008, is amended by deleting subdivisions (a)(11)(B)(ii) and (v).

SECTION 19. The Tennessee Code Commission is requested to publish in Tennessee Code Annotated the revisions to the official comments for Chapter 1 of Title 32, Chapter 15 of Title 35, and Chapter 4 of Title 67 that are filed with the executive secretary of the Tennessee Code Commission by May 19, 2026, by duly authorized representatives of the Trust Committee of the Tennessee Bankers Association.

SECTION 20. This act takes effect July 1, 2026, the public welfare requiring it.